NOTE 3 - INCOME TAXES

For financial reporting purposes, income before taxes include the following components:

	December 31, 2015	December 31, 2014
United States	$ 114,431	$ 226,701
Total	$ 114,431	$ 226,701

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NOTE 3 - INCOME TAXES (CONTINUED)

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of the Company's deferred tax assets and liabilities as of December 31, 2015 and 2014 are as follows:

	December 31, 2015	December 31, 2014
Property and equipment bases and depreciation differences	$ 3,070	$ 668
Total deferred tax liabilities	$ 3,070	$ 668
Net operating loss carryforwards	$ 82,918	$ 87,344
Total deferred tax assets	$ 82,918	$ 87,344
Net deferred income taxes	$ 79,848	$ 86,676

The expense for income taxes consists of:

	December 31, 2015	December 31, 2014
Current:		
Federal	$ 42,883	$ 11,613
State	11,351	3,074
	$ 54,234	$ 14,687
Deferred and other:		
Federal	$ 5,399	$ 3,866
State	1,429	1,023
Total	$ 61,062	$ 19,576

At December 31, 2015, the Company had a deferred tax asset related to net operating loss carryforwards of approximately $83,000 that could be utilized to reduce the tax liabilities of future years. These carryforwards will begin to expire in 2011. During the year ended December 31, 2014, a portion of the deferred tax asset attributable to net operating loss carryforwards was increased by a change in valuation allowance of approximately $92,000 for the net operating losses.

The reconciliation of statutory tax rate to effective tax rate is:

	December 31, 2015	December 31, 2014
Statutory tax rate	42.84%	42.84%
Effect of lower tax brackets	(5.35)%	(2.39)%
Meals and entertainment	24.10%	14.22%
Change in valuation allowance	0.00%	(40.48)%
Federal benefit of state tax	(2.79)%	(2.79)%
Other	(5.43)%	(2.94)%
Effective tax rate	53.36%	8.46%